

# Enterprise IT Approval Matrix & Tendering Policy

SOP-MAT-003-v2.0

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|---------------------|----------------------------------------------------|
| Document Reference: | SOP-MAT-003-v2.0                                   |
| Effective Date:     | January 1, 2026                                    |
| Target Audience:    | Executive Leadership, Team Leads, Finance Auditors |
| Classification:     | Internal Use Only                                  |

## 1. Tiered Financial Approval Limits

All procurement requests (PR) and purchase orders (PO) must obtain sign-off according to the following monetary thresholds. All values are expressed in normalized HKD.

| Procurement Level | Financial Threshold (HKD)      | Required Approver Role        | Operational Scope                              |
|-------------------|--------------------------------|-------------------------------|------------------------------------------------|
| Level 1           | Up to HKD \$100,000            | Team Lead                     | Assigned Team Ops & Minor Licenses             |
| Level 2           | HKD \$100,001 to HKD \$500,000 | Deputy Head of IT / Team Lead | Departmental Hardware & Software Renewals      |
| Level 3           | Above HKD \$500,000            | Head of IT or Active Deputy   | Enterprise Infrastructure, Cloud & Outsourcing |

### 1.1 Separation of Duties

Team Leads may approve PR/POs for their own team up to Level 1 limits without cross-team conflict restrictions. This recognizes that operational agility for low-value purchases should not be encumbered by multi-departmental approval overhead.

**Important:** For Level 2 and Level 3 approvals, the approver must not have a direct financial interest in the procurement outcome. Finance Auditors review all Level 2 and Level 3 approvals quarterly for conflict-of-interest compliance.

## 2. Dual-Control Payment Authorization

Payment schedule alterations, manual overrides, or disbursements exceeding **HKD \$250,000** enforce strict Dual-Control. This control ensures that no single individual can authorize high-value financial movements without independent verification.

| Control Layer      | Required Signatory                    | Authority & Responsibility                                                                         |
|--------------------|---------------------------------------|----------------------------------------------------------------------------------------------------|
| Primary Sign-off   | Head of IT<br>(or Active Deputy)      | Verifies business justification, technical requirement, and budget availability.                   |
| Secondary Sign-off | Finance Auditor /<br>Finance Director | Validates financial accuracy, compliance with procurement policy, and fund allocation correctness. |

**Trigger Conditions:** Dual-Control is automatically enforced when any of the following conditions are met:

- Payment disbursement exceeds HKD \$250,000 in a single transaction or aggregated batch.
- Manual override of an automated payment schedule or three-way match result.
- Alteration of payment terms (e.g., extending due date, splitting payments, changing beneficiary).
- Emergency or expedited payment requests outside standard procurement workflow.

**Critical: Both signatories must provide independent approval within the system. Co-signing via email, verbal confirmation, or delegated proxy is not permitted. The system enforces sequential approval: Primary first, then Secondary.**

### 3. Tendering & Vendor Selection Requirements

The mandatory selection framework for vendor contracts varies by total contract value. The appropriate tendering pathway is determined by the normalized HKD value of the contract, including all options, extensions, and anticipated change orders.

#### 3.1 Contract Value Threshold Framework

| Contract Value            | Tendering Pathway                                    | Minimum Requirements                                                                    |
|---------------------------|------------------------------------------------------|-----------------------------------------------------------------------------------------|
| < HKD \$100,000           | <b>Direct Purchasing</b>                             | 1 verified vendor quote from a registered vendor with pre-verified tax registration ID. |
| HKD \$100,001 – \$500,000 | <b>Restricted Tender</b>                             | Minimum 3 competitive written quotations submitted to Team Lead and Deputy Head of IT.  |
| > HKD \$500,000           | <b>Open Public Tender &amp; RFP Committee Review</b> | Formal RFP issued; Evaluation Committee convened; weighted scoring model applied.       |

#### 3.2 Tender Guidelines by Category

##### A. Direct Purchasing (< HKD \$100,000)

Requires 1 formal quotation from a registered vendor with pre-verified tax registration ID. The vendor must be on the organization's approved vendor list (AVL) and have passed the most recent annual compliance review.

##### B. Restricted Tendering (HKD \$100,000 – \$500,000)

Requires a minimum of 3 written vendor quotes submitted to the Team Lead and Deputy Head of IT. Quotations must be received within the published tender period (minimum 10 business days).

- All 3 quotes must be from AVL-registered vendors.
- Quotes must be itemized and include line-item pricing, delivery timelines, and warranty terms.
- The Team Lead prepares a comparison summary; the Deputy Head of IT makes the final selection recommendation.
- Selection rationale must be documented and retained for audit purposes.

##### C. Open Public Tender / RFP (> HKD \$500,000)

The highest tier of vendor selection requires a formal Request for Proposal (RFP) process and committee-based evaluation.

- **Formal Request for Proposal (RFP) issued** — The RFP is published on the organization's procurement portal and, where applicable, on public tender platforms. Minimum response period: 20 business days.
- **Evaluation Committee convened** — The committee comprises the Head of IT, Deputy Head of IT, and Finance Auditor. Additional subject matter experts may be co-opted for technical evaluation.
- **Weighted scoring model applied** — Proposals are evaluated against a standardized scoring matrix.

### 3.3 Weighted Scoring Model

All RFP evaluations use the following weighted scoring model to ensure objective, transparent, and defensible vendor selection:

| Evaluation Criterion   | Weight | Description                                                                                           |
|------------------------|--------|-------------------------------------------------------------------------------------------------------|
| Technical Architecture | 40%    | Solution design, scalability, integration capability, technology stack alignment, and innovation.     |
| Security / Compliance  | 30%    | Data protection, security certifications (ISO 27001, SOC 2), regulatory compliance, and risk posture. |
| Financial Cost         | 30%    | Total cost of ownership (TCO), pricing transparency, payment terms, and value-for-money assessment.   |

**Scoring Protocol:** Each committee member scores proposals independently. Scores are averaged across committee members. The vendor with the highest composite score is recommended for award, subject to final approval by the Head of IT and Finance Director.

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